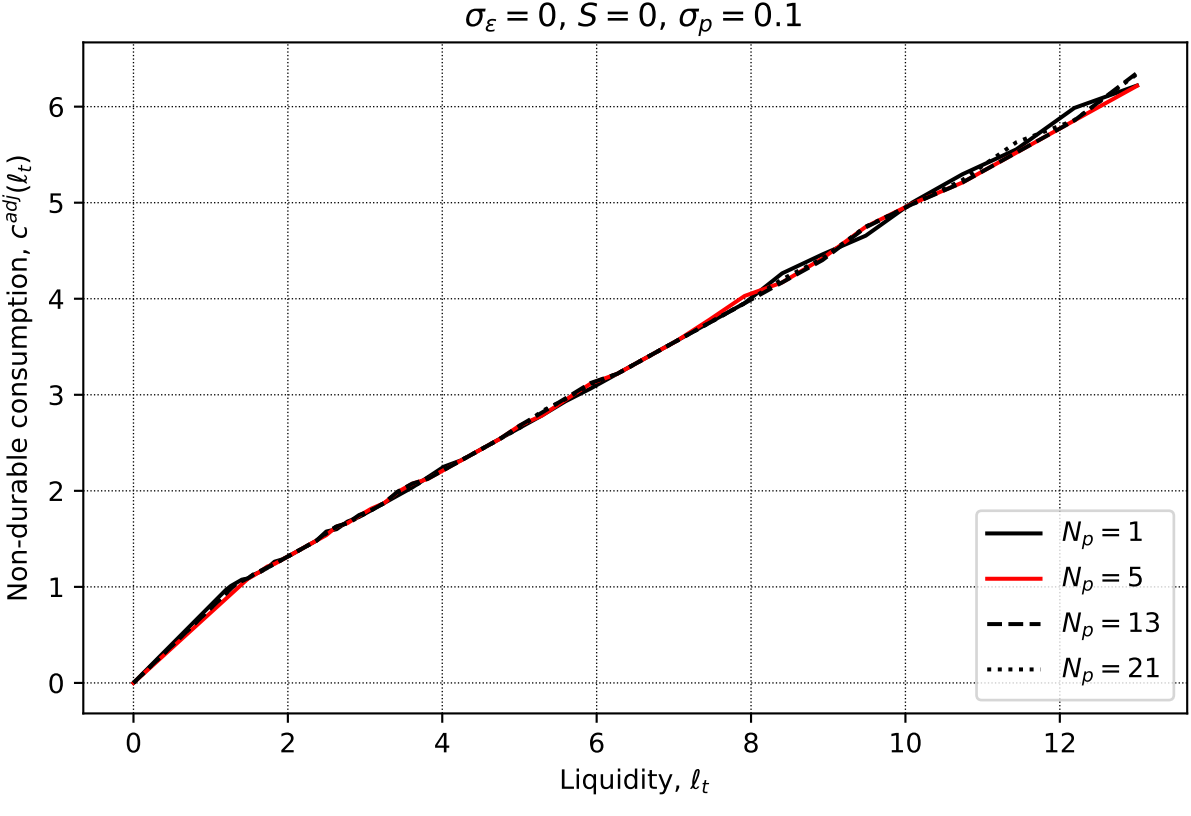
$\sigma_\varepsilon = 0$, $S = 0$, $\sigma_p = 0.1$
Non-durable consumption, $c^{adj}(\ell_t)$
Liquidity, ℓ_t
0
1
2
3
4
5
6
0
2
4
6
8
10
12
$N_p = 1$
$N_p = 5$
$N_p = 13$
$N_p = 21$